KIIT DU — SAP Integration Developer

Batch: CSE ,Group: 2027_SAP(OE)

SAP CAPSTONE PROJECT REPORT

Blueprint Document: SAP Configuration for a Fictitious Enterprise

Company: Nexora IT Services Pvt. Ltd.

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1. Project Title & Problem Statement

1.1 Project Title

SAP Enterprise Blueprint: End-to-End Configuration of Nexora IT Services Pvt. Ltd. across Financial Accounting (FI), Materials Management (MM), and Sales & Distribution (SD) Modules.

1.2 Problem Statement

IT services companies in India typically operate with fragmented systems for resource procurement, project billing, and financial reporting. Separate tools for vendor management, internal asset procurement, and client invoicing lead to reconciliation errors, delayed revenue recognition, and poor cost visibility across projects and service lines.

This project defines and blueprints the SAP configuration for Nexora IT Services Pvt. Ltd., a fictitious Indian IT services company, covering all major sub-organizations and customization steps across the FI, MM, and SD functional modules. The blueprint serves as a complete implementation guide that an SAP consultant would follow to configure the system from scratch — enabling unified procurement, billing, and financial operations on a single platform.

2. Company Profile — Nexora IT Services Pvt. Ltd.

2.1 About the Company

Nexora IT Services Pvt. Ltd. is a fictitious mid-sized IT services company headquartered in Bengaluru, Karnataka, India. The company delivers software development, cloud infrastructure management, and IT consulting services to enterprise clients across BFSI, retail, and manufacturing sectors. It operates with approximately 2,800 employees across two delivery centres.

2.2 Company Overview Table

Company Name	Nexora IT Services Pvt. Ltd.
Industry	Information Technology & IT-Enabled Services
Headquarters	Bengaluru, Karnataka, India
Founded	2011
Annual Revenue	INR 420 Crores (approx.)
Employees	~2,800
Delivery Centres	Bengaluru (Primary), Hyderabad (Secondary)
Currency	Indian Rupee (INR)
Fiscal Year	April to March (Indian FY)
SAP System	SAP ECC 6.0 / S/4HANA

2.3 Organizational Structure Overview

The SAP organizational structure for Nexora mirrors its real-world delivery model. The hierarchy flows from the Client level down through Company Code, Plants (Delivery Centres), Purchase Organizations, Storage Locations (IT Asset Stores), Sales Organizations, and Distribution Channels (Direct, Partner, Offshore). This structure ensures accurate financial reporting by project, efficient IT asset procurement, and seamless client billing.

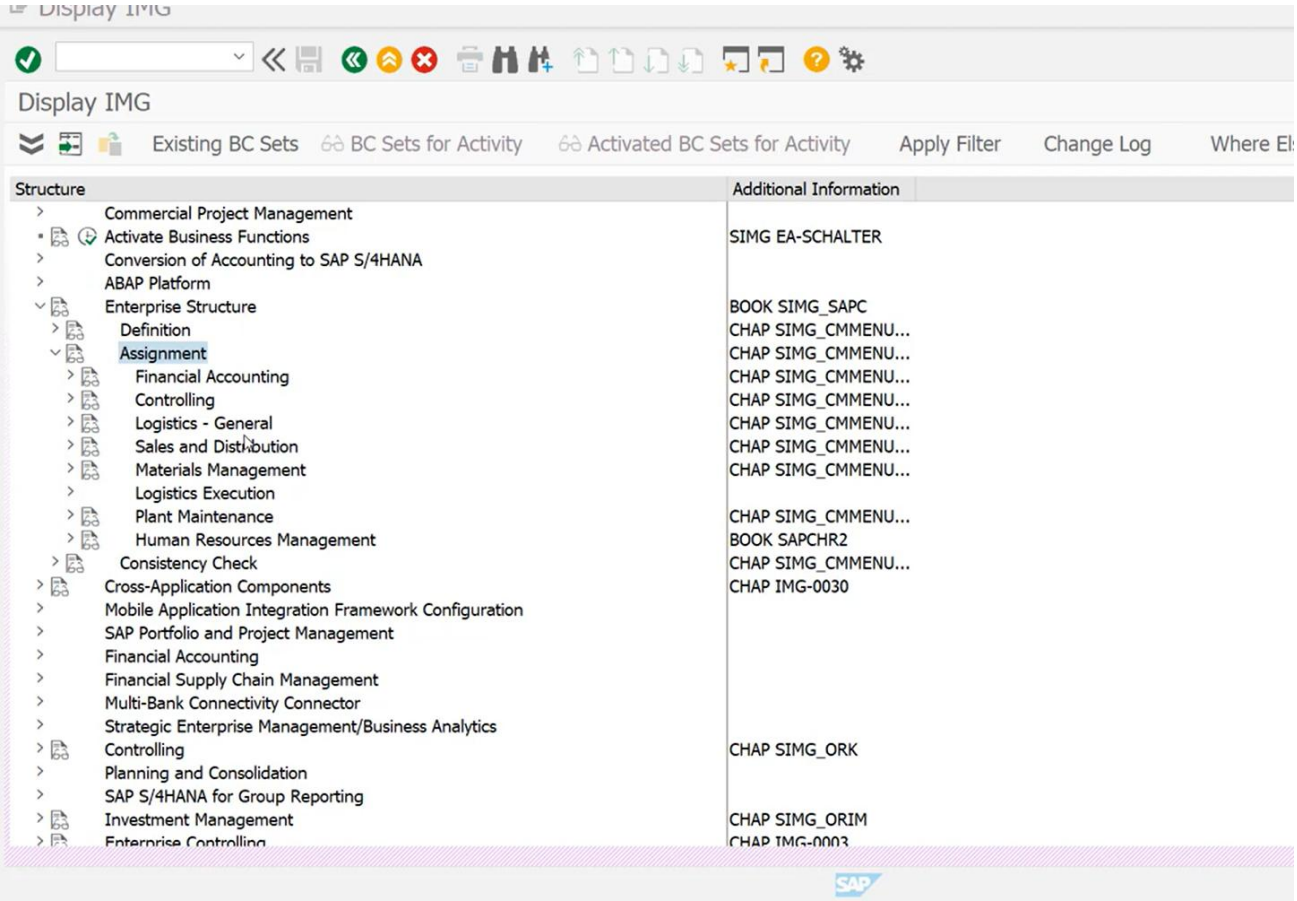

Figure 1: SAP Enterprise Structure showing FI, MM, and SD hierarchy.

3. Financial Accounting (FI) Module Configuration

3.1 Module Overview

The Financial Accounting (FI) module is the financial backbone of Nexora IT Services. It records all business transactions in real time — covering accounts payable (vendor payments for hardware/software), accounts receivable (client billing), general ledger, and asset accounting for IT infrastructure. All FI entries are triggered automatically by MM procurement events and SD billing events.

3.2 Client Configuration

In SAP, the Client is the highest organizational unit. All company codes, master data, and configurations are contained within a single client. Nexora operates on Client 200.

Client ID	200
Client Name	Nexora SAP Production

Currency	INR
Language	EN (English)

3.3 Company Code

The Company Code is the central FI organizational unit representing Nexora as an independent legal accounting entity.

Company Code	NXPL
Company Name	Nexora IT Services Pvt. Ltd.
City	Bengaluru
Country	India (IN)
Currency	INR
Language	EN
Chart of Accounts	NXCA
Fiscal Year Variant	V3 (Apr–Mar)

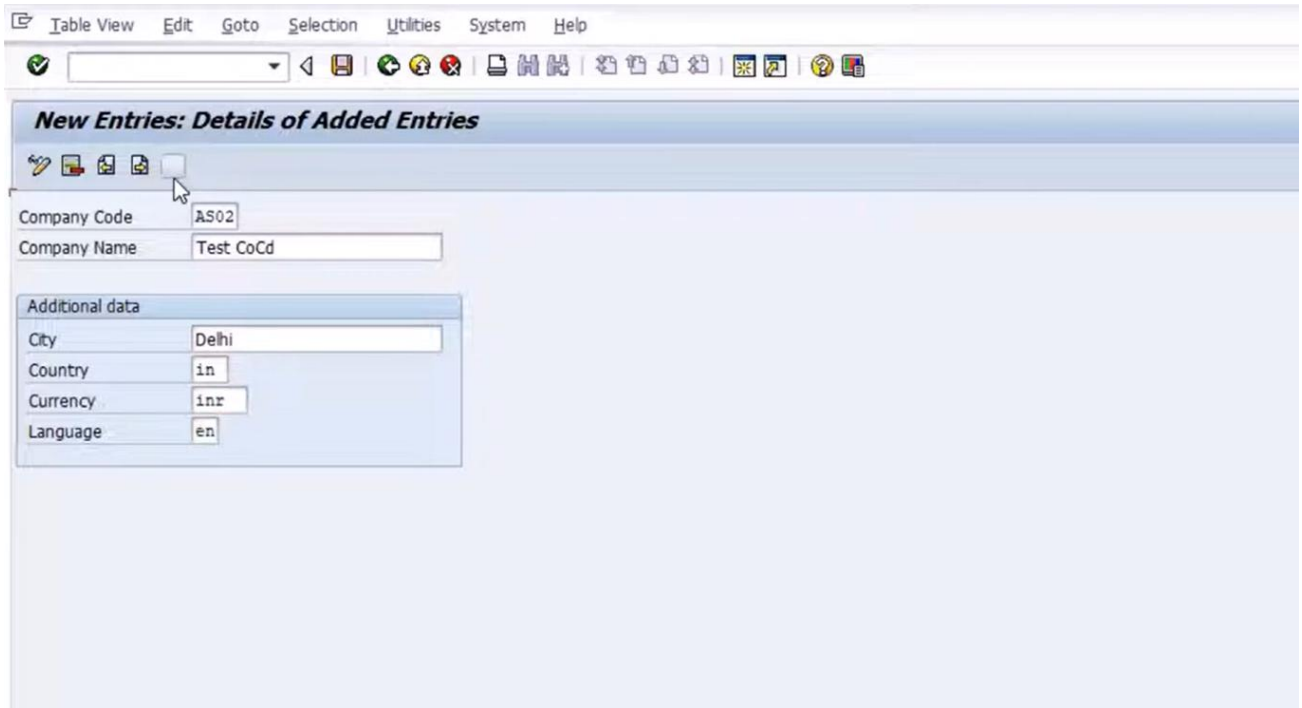

Figure 2: Sample Company Code configuration for Nexora IT Services Pvt. Ltd.

3.4 Chart of Accounts (COA)

Nexora uses a custom Chart of Accounts called NXCA, aligned to the Indian Companies Act 2013 framework and suitable for an IT services company with project-based revenue and capitalised software assets.

Account Range	Account Type	Description
100000–199999	Balance Sheet	Assets — Fixed, Current & Intangible
200000–299999	Balance Sheet	Liabilities & Equity
300000–399999	P&L	Revenue — Professional Services & Products
400000–499999	P&L	Direct Costs — Salaries & Subcontracting
500000–599999	P&L	Operating Expenses — Rent, Utilities, SaaS
600000–699999	P&L	Tax & Statutory Accounts (GST, TDS)

3.5 Fiscal Year Variant

Nexora follows the Indian Financial Year: April 1 to March 31. Fiscal Year Variant V3 is configured with 12 posting periods (April to March) and 4 special periods for year-end adjustments.

3.6 Posting Period Variant

Period	Month	Open/Close Status
Period 1	April	Open
Period 2	May	Open
Period 3	June	Open
Period 4–12	July–March	Controlled by Finance Team
Special 13–16	Year-End	Open during closing only

3.7 Document Types & Number Ranges

Document Type	Code	Description	Number Range
Vendor Invoice	KR	AP Invoice — Hardware/Software	1900000000–1999999999
Customer Invoice	DR	AR Invoice — Client Billing	1800000000–1899999999
General Journal	SA	GL Journal Entry	1000000000–1099999999
Payment	ZP	Outgoing Payment	1700000000–1799999999
Credit Memo	KG	Vendor Credit Adjustment	1600000000–1699999999

3.8 Key FI Customization Steps

Step 1: Define Company

- Path: SPRO → Enterprise Structure → Definition → Financial Accounting → Define Company

- Company ID: NXPL | Name: Nexora IT Services Pvt. Ltd. | Country: IN | Currency: INR

Step 2: Define Company Code

- Path: SPRO → Enterprise Structure → Definition → Financial Accounting → Edit, Copy, Delete, Check Company Code
- Company Code: NXPL | Assign to Company: NXPL | T-Code: OX02

Step 3: Assign Company Code to Chart of Accounts

- Path: SPRO → Financial Accounting → General Ledger → GL Accounts → Master Data → Assign COA
- Company Code NXPL → COA: NXCA | T-Code: OB62

Step 4: Define Fiscal Year Variant

- Path: SPRO → Financial Accounting → FA Global Settings → Fiscal Year → Maintain Fiscal Year Variant
- Variant: V3 | Description: April–March (Indian FY) | 12 Normal + 4 Special Periods | T-Code: OB29

Step 5: Assign Fiscal Year Variant to Company Code

- T-Code: OB37 — Assign V3 to Company Code NXPL

Step 6: Define Document Types & Number Ranges

- T-Code: OBA7 — Define document types KR, DR, SA, ZP, KG
- T-Code: FBN1 — Maintain number ranges for each document type per fiscal year

4. Materials Management (MM) Module Configuration

4.1 Module Overview

The Materials Management (MM) module manages Nexora's complete Procure-to-Pay cycle for IT assets and services — hardware procurement (laptops, servers, networking gear), licensed software, cloud infrastructure subscriptions, and third-party subcontracting services. It covers purchase requisition, vendor selection, goods/service receipt, and invoice verification.

4.2 Plant Configuration

In SAP MM, a Plant represents a delivery centre or operational unit. Nexora operates two delivery centres configured as plants:

Plant Code	Plant Name	Location	Type
NX01	Nexora Bengaluru Delivery Centre	Bengaluru, Karnataka	Primary Delivery & HQ
NX02	Nexora Hyderabad Delivery Centre	Hyderabad, Telangana	Secondary Delivery

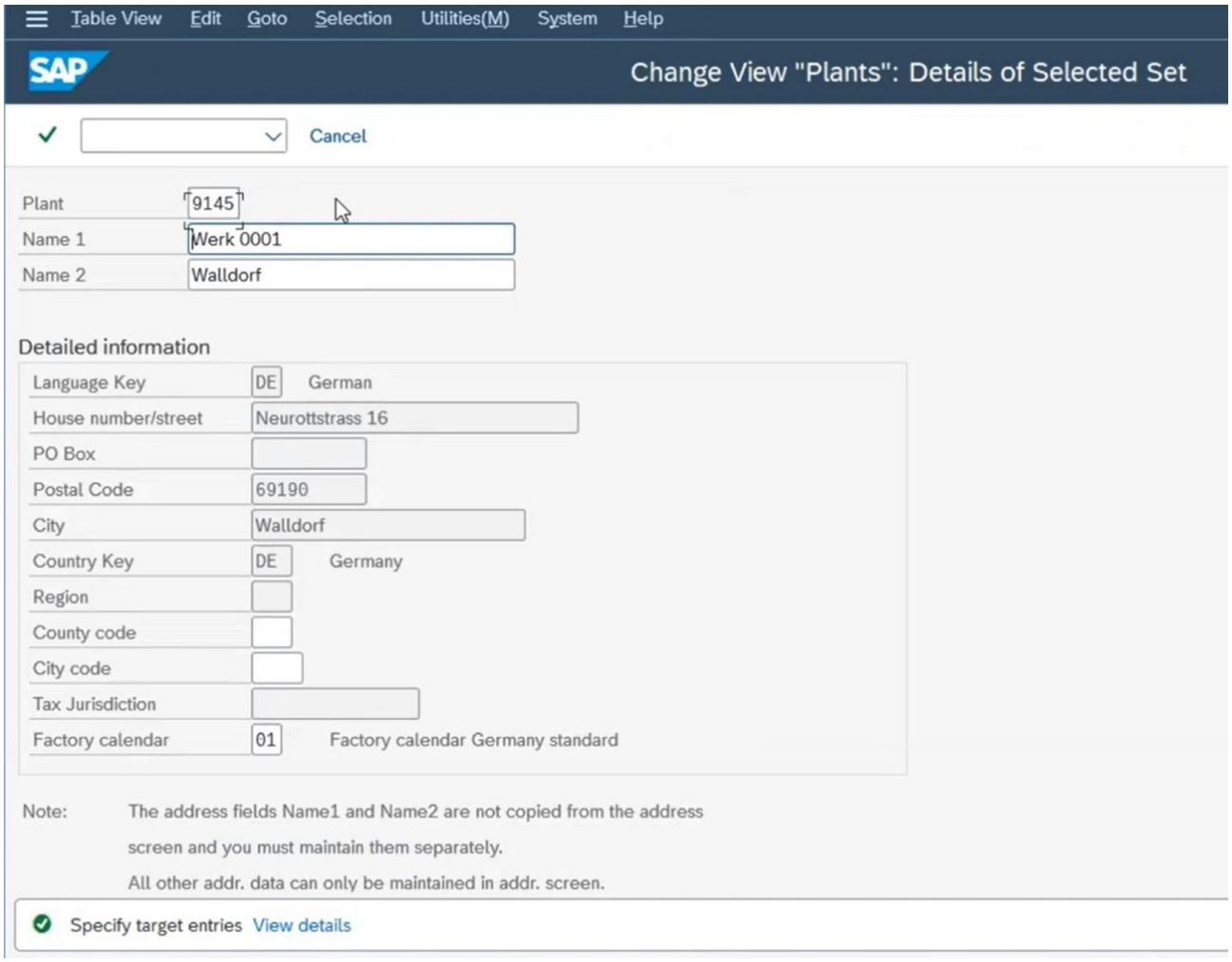

Figure 3: Sample Plant configuration representing Nexora delivery centres.

4.3 Storage Locations

Storage Locations represent physical areas within a plant for managing IT assets and consumables inventory.

Plant	Storage Location	Code	Description
NX01	IT Asset Store	AS01	Laptops, desktops, peripherals — Bengaluru
NX01	Server Room	SR01	Servers, networking equipment — Bengaluru
NX01	Consumables Store	CS01	Stationery, cables, accessories
NX02	IT Asset Store	AS02	Laptops, desktops, peripherals — Hyderabad
NX02	Server Room	SR02	Servers, networking equipment — Hyderabad

4.4 Purchase Organization

Parameter	Value
Purchase Org Code	NX_PO
Purchase Org Name	Nexora Central Procurement
Assignment	Cross-Plant (NX01 and NX02)
Currency	INR

4.5 Purchase Groups

Purchase Group	Code	Responsible For
IT Hardware Group	PG01	Laptops, servers, networking devices, peripherals
Software & Licensing	PG02	ERP licenses, SaaS subscriptions, OS & productivity
Services Group	PG03	Subcontracting, AMC, cloud managed services

4.6 Material Types

Material Type	Code	Description
IT Hardware	ZITW	Laptops, servers, networking gear — stock-managed
Software License	ZSWL	Perpetual and subscription software licenses
IT Consumables	CONS	Cables, accessories — low-value, non-capitalised
Services	DIEN	Maintenance, consulting, cloud services (non-stock)
Capital Equipment	EQUI	High-value server/storage assets — capitalised

4.7 Key MM Customization Steps

Step 1: Define Plant

- Path: SPRO → Enterprise Structure → Definition → Logistics General → Define, Copy, Delete, Check Plant
- Plant NX01 — Bengaluru | Plant NX02 — Hyderabad | T-Code: OX10

Step 2: Assign Plant to Company Code

- Path: SPRO → Enterprise Structure → Assignment → Logistics General → Assign Plant to Company Code
- NX01 & NX02 → NXPL | T-Code: OX18

Step 3: Define Storage Locations

- Path: SPRO → Enterprise Structure → Definition → Materials Management → Maintain Storage Location
- AS01, SR01, CS01 for NX01 | AS02, SR02 for NX02 | T-Code: OX09

Step 4: Define Purchase Organization & Groups

- Path: SPRO → Enterprise Structure → Definition → MM → Maintain Purchase Organization

- Code: NX_PO | T-Code: OX08
- Purchase Groups PG01–PG03 defined via T-Code OME4

Step 5: Assign Purchase Org to Company Code & Plant

- Path: SPRO → Enterprise Structure → Assignment → MM → Assign Purchase Org to Company Code & Plant
- NX_PO → NXPL → NX01, NX02

Step 6: Define Valuation Area

- Valuation at Plant level — each delivery centre maintains independent IT asset valuation
- IT Hardware: Moving Average Price (MAP) | Capital Equipment: Standard Price | T-Code: OMWM

Step 7: Define Vendor Account Groups

- Domestic Vendors (VEND): Indian hardware/software vendors — taxable with GST
- Foreign Vendors (FVND): International SaaS and OEM vendors
- One-Time Vendors (OTVE): Petty purchases and emergency procurement

5. Sales & Distribution (SD) Module Configuration

5.1 Module Overview

The Sales & Distribution (SD) module manages Nexora's complete Order-to-Cash cycle — from client engagement and quotation to project work order creation, milestone billing, and payment collection. It is tightly integrated with MM (for billable asset delivery) and FI (for revenue posting) to ensure real-time financial visibility on all client contracts.

5.2 Sales Organization

Parameter	Value
Sales Org Code	NX_SO
Sales Org Name	Nexora Sales Organization
Company Code	NXPL
Currency	INR

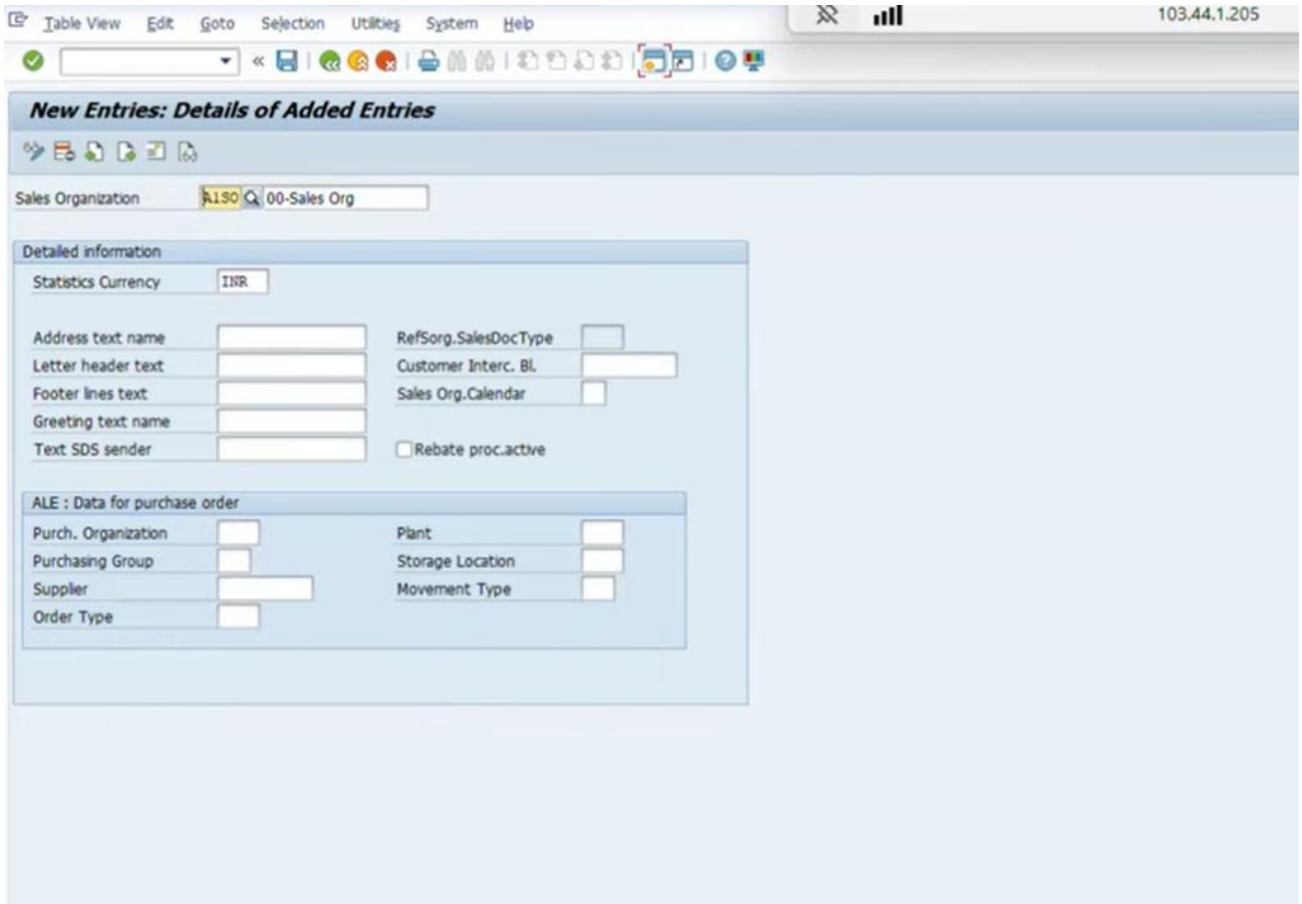

Figure 4: Sales Organization setup for client billing and sales structure.

5.3 Distribution Channels

Distribution Channels define how Nexora delivers its services to clients.

Channel Code	Channel Name	Description
DI	Direct Engagement	Direct B2B contracts with enterprise clients
PT	Partner Channel	Sales through system integrator partners
OF	Offshore Delivery	Fixed-price offshore project contracts

5.4 Divisions

Division Code	Division Name	Services
SW	Software Services	Custom development, QA, digital transformation
IN	Infrastructure Services	Cloud, networking, IT infrastructure management
CS	Consulting Services	SAP, ERP, IT advisory, business analysis

5.5 Sales Area

The Sales Area is the combination of Sales Organization + Distribution Channel + Division. Each unique combination forms a Sales Area with its own pricing, customer master data, and sales document configuration.

Sales Org	Distribution Channel	Division	Sales Area Description
NX_SO	DI	SW	Direct — Software Services
NX_SO	DI	IN	Direct — Infrastructure Services
NX_SO	PT	SW	Partner — Software Services
NX_SO	OF	SW	Offshore — Software Services
NX_SO	DI	CS	Direct — Consulting Services

5.6 Shipping Point

Shipping Point	Code	Location
Bengaluru Dispatch Point	SPBG	NX01 Plant — Bengaluru (for hardware deliveries)
Hyderabad Dispatch Point	SPHY	NX02 Plant — Hyderabad (for hardware deliveries)

5.7 Customer Account Groups

Account Group	Code	Description
Domestic Enterprise	CENT	Indian B2B corporate clients

Export Client	EXCU	International clients billed in USD/EUR
Government Client	GOVC	Central/State Government IT contracts
One-Time Client	OTCU	Short-term or one-off engagement clients

5.8 Key SD Customization Steps

Step 1: Define Sales Organization

- Path: SPRO → Enterprise Structure → Definition → Sales & Distribution → Define Sales Organization
- Code: NX_SO | T-Code: OVX5

Step 2: Assign Sales Org to Company Code

- Path: SPRO → Enterprise Structure → Assignment → SD → Assign Sales Organization to Company Code
- NX_SO → NXPL | T-Code: OVX3

Step 3: Define Distribution Channels & Assign to Sales Org

- Path: SPRO → Enterprise Structure → Definition → SD → Define Distribution Channel
- DI, PT, OF — T-Code: OVX1 | Assign to NX_SO — T-Code: OVX4

Step 4: Define Divisions & Assign to Sales Org

- T-Code: OVX2 (Define) | T-Code: OVX5 (Assign to Sales Org)
- SW — Software Services | IN — Infrastructure Services | CS — Consulting Services

Step 5: Set Up Sales Areas

- Path: SPRO → SD → Sales → Sales Documents → Define Sales Area
- All five combinations of NX_SO + Channel + Division configured

Step 6: Define Pricing Procedure

- Nexora uses a milestone-based billing pricing procedure for project contracts with GST compliance:

Step	Condition Type	Description
10	PR00	Base Service Price / Milestone Value
20	ZD01	Volume / Long-term Contract Discount
30	MWST	GST (18% for IT Services — IGST/CGST+SGST)
40	SKTO	Early Payment Cash Discount
50	NETWR	Net Invoice Value

6. Integration Between FI, MM & SD

6.1 Overview of Module Integration

SAP's real-time integration between FI, MM, and SD is central to Nexora's operational efficiency. Every procurement event (hardware purchase, software subscription renewal) and every billing event (client invoice, milestone payment) automatically generates the corresponding financial accounting entry — eliminating manual reconciliation between project managers, procurement, and finance teams.

6.2 MM–FI Integration

MM Event	FI Posting Generated	T-Code
Goods Receipt (Hardware)	IT Asset Stock Dr, GR/IR Clearing Cr	MIGO
Service Entry Sheet (SES)	Service Expense Dr, GR/IR Clearing Cr	ML81N
Invoice Verification (LIV)	GR/IR Clearing Dr, Vendor Payable Cr	MIRO
Vendor Payment	Vendor Payable Dr, Bank Account Cr	F110
Asset Capitalisation (EQUI)	Fixed Asset Dr, GR/IR Clearing Cr	MIGO + AS01

6.3 SD–FI Integration

SD Event	FI Posting Generated	T-Code
Milestone Billing / Invoice	Client Receivable Dr, Revenue Cr	VF01
Client Payment Receipt	Bank Dr, Client Receivable Cr	F-28
Credit Memo (SLA Penalty)	Revenue Dr, Client Receivable Cr	VF01 (Credit)
Down Payment (Advance)	Bank Dr, Advance Liability Cr	F-29

6.4 MM–SD Integration

When a Sales Order for hardware supply is created (VA01), the system checks IT asset inventory at the assigned plant (MM availability check). Upon delivery (VL01N), a goods issue reduces the IT Asset Store inventory. This simultaneously triggers a COGS entry in FI, ensuring the P&L accurately reflects the cost of hardware delivered to the client — without any manual journal entries.

7. Tech Stack & Tools

7.1 SAP Components Used

Component	Purpose
SAP ECC 6.0 / S/4HANA	Core ERP platform for all configurations
SAP FI (Financial Accounting)	General Ledger, AP, AR, Asset Accounting
SAP CO (Controlling)	Cost Centre (by project/BU) & Profit Centre Accounting
SAP MM (Materials Management)	IT Procurement, Asset Inventory, Vendor Management
SAP SD (Sales & Distribution)	Client Contracts, Milestone Billing, Order-to-Cash
SAP PS (Project System)	Integration layer for project-based revenue recognition
SAP SPRO (IMG)	SAP Project Reference Object — configuration tool
SAP GUI / Fiori	Front-end interface for SAP transactions

7.2 Key Transaction Codes Reference

T-Code	Module	Purpose
OX02	FI	Define Company Code
OB29	FI	Maintain Fiscal Year Variant
OB62	FI	Assign COA to Company Code
OB37	FI	Assign Fiscal Year Variant to Company Code
OX10	MM	Define Plant
OX09	MM	Define Storage Locations
OX08	MM	Define Purchase Organization
OX18	MM	Assign Plant to Company Code
OVX5	SD	Define Sales Organization
OVX1	SD	Define Distribution Channel
OVX2	SD	Define Division
ME21N	MM	Create Purchase Order
MIGO	MM	Goods Receipt
ML81N	MM	Service Entry Sheet
MIRO	MM	Invoice Verification (Logistics)
VA01	SD	Create Sales Order
VF01	SD	Create Billing / Milestone Invoice
F110	FI	Automatic Payment Run

F-28	FI	Customer Payment Posting
AS01	FI-AA	Create Asset Master Record

8. Unique Points & Highlights

8.1 What Makes This Blueprint Distinctive

- Designed specifically for an Indian IT Services company — most SAP blueprints target manufacturing. This blueprint reflects IT-sector realities: service-based revenue, non-physical "goods", milestone billing, and GST at 18% for services.
- Three distinct service divisions (Software, Infrastructure, Consulting) with separate Sales Areas allow independent pricing strategies, revenue reporting, and profitability analysis per practice.
- IT-specific material types (ZITW for hardware, ZSWL for software licenses) are custom-configured to handle the dual nature of IT procurement: physical assets and intangible licenses.
- Service Entry Sheet (ML81N) integration enables SAP to track and validate subcontracting services receipt — critical for IT companies using third-party developers and managed service providers.
- Full integration map between FI, MM, and SD with IT-specific transaction scenarios (milestone billing, advance payments, SLA credit memos) provides a complete audit trail for every client engagement.
- Indian Fiscal Year (April–March) and GST-compliant pricing procedure configured for both direct client billing and partner channel transactions.

9. Future Improvements

9.1 Planned Enhancements

- SAP PS (Project System) Integration: Extend the blueprint to include Work Breakdown Structure (WBS), Network Activities, and project-level cost/revenue recognition — essential for fixed-price and T&M project billing.
- SAP HR/HCM Module: Add Hire-to-Retire configuration covering Personnel Area, Personnel Subarea, Employee Groups, and Payroll integration with FI — especially important for an IT company where people costs dominate.
- SAP S/4HANA Migration: Migrate the ECC 6.0 blueprint to S/4HANA, leveraging the Universal Journal (ACDOCA), simplified asset accounting, Fiori apps for mobile approvals, and embedded analytics for real-time dashboards.
- GST Configuration: Implement full GST tax procedure (TAXINN) with SAC codes for IT services, e-invoicing (IRN/QR) integration with the GSTN portal, and automated GSTR-1/GSTR-3B report generation.
- SAP Business Partner (BP): Transition from legacy vendor/customer master records to unified Business Partner model — mandatory for S/4HANA and enabling single-record management for clients who are also vendors.
- Automated Testing & Solution Documentation: Develop end-to-end test scripts using SAP Solution Manager for all configured business processes, covering IT asset procurement, service entry, milestone billing, and payment cycles.

10. Conclusion

This blueprint document presents a comprehensive SAP configuration design for Nexora IT Services Pvt. Ltd., covering the three core functional areas of Financial Accounting (FI), Materials Management (MM), and Sales & Distribution (SD). The organizational structures, customization steps, and integration points documented here provide a complete reference for implementing SAP at a mid-sized Indian IT services enterprise.

The configuration follows SAP best practices while being tailored to the specific operational model of an IT services company: service-based revenue recognition, milestone billing, IT asset and software license procurement, subcontracting management, and compliance with Indian statutory requirements including the April–March fiscal year and GST at 18% for IT services.

The integration between FI, MM, and SD ensures that every procurement event, service delivery, and client billing transaction is automatically reflected in the financial books — eliminating manual reconciliation and providing real-time visibility into project profitability and company financial position.

This project demonstrates a thorough understanding of SAP enterprise structure design, module configuration principles, and cross-module integration in the context of an IT services business — forming a solid foundation for further extension into SAP PS, HR/HCM, and S/4HANA capabilities.

— End of Document —

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